

Can ‘delitigation’ transform an industry?

Gayle DeLong

Highlights

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Delitigation’ preempts the right of a consumer to sue a manufacturer.

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Preempting product liability enhances the value of a product.

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A riskier firm enjoys higher returns from delitigation.

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A drug company that makes higher political contributions benefits more from licensing a product.

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Delitigation increases the value of all new licenses of a covered firm.

Abstract

I investigate whether removing product liability – “delitigation” – affects a firm’s market value. This research sheds light on the influence of litigation risk on firm value. Using the vaccine industry as an example, I find the average market return to the licensing of a new vaccine increases after the passage of legislation that removed most product liability for vaccines. While average market return to the licensing of any new drug that a vaccine maker produced also increases, returns to drug firms that do not make vaccines remain the same after the legislation. Company risk-taking enhances market reaction to the announcement of a new vaccine. Delitigation appears to contribute to the transformation of vaccine makers.

Introduction

This paper investigates whether the lifting of litigation risk – “delitigation” – affects the market value of a regulated firm.

A manufacturing firm is typically subject to both product safety regulation and litigation. Regulators verify safety before the firm sells a product, and consumers can bring product liability law suits to address unforeseen safety issues after a product is on the market. Although much literature exists on the influence of deregulation on market returns and risk to corporations – see, for example, Semaan and Drake (2011) – we know very little about the effect of a related topic, delitigation.

The expected effect of delitigation on market value is unclear. Delitigation lowers the costs of production and could thereby enhance firm value. A firm could also manufacture relatively risky products that would not be cost effective if the firm were directly liable for injuries associated with those products. These new products bring in new revenue streams and enhance value. However, argues Peltzman (1976) when discussing deregulation, higher costs serve as a barrier to entry. When costs fall, competition could rise, leading to a decrease in firm value. Finally, firm value could remain unchanged if increased regulation accompanies the delitigation. If the regulator expands its duties of confirming product safety ex ante by taking the place of the litigator to ensure safety ex post, production costs will not change. Market value could also remain constant if producers pass their cost savings on to customers by lowering prices.

The passage of the U.S. National Childhood Vaccine Injury Act (NCVIA) in 1986 provides an opportunity to examine the effect of delitigation on firm value. The Act preempted most product liability law suits against vaccine manufacturers and thereby provided a distinct point in time when a consumer could no longer sue a manufacturer. The Act increased regulation by establishing a public database for the reporting of a vaccine injury as well as an excise tax to compensate people injured by childhood vaccines. Examining market reactions to the introductions of vaccines before and after the passage of the legislation provides insights into the effects of delitigation on market value. I also compare market returns to vaccines with a control group of non-vaccine drugs.

I find the market rewards not only the licensing of a new vaccine more highly after the passage of limited liability, but also the licensing of all new drugs the vaccine makers introduce. However, returns to the licensing of drugs by pharmaceutical firms that do not produce vaccines remain constant after the legislation. Cross-sectional analysis reveals that political contributions affect market returns to the licensing of vaccines positively, but political contributions do not affect market returns to the licensing of other drugs. I also find that the market responds more favorably to the licensing of a vaccine made by a relatively risky firm and that vaccine manufacturers do not pass savings from delitigation on to customers. Delitigation appears to enhance the firm value of vaccine manufacturers at least in part by allowing firms to lower costs without lowering prices.

In Section 2, I examine why litigation is expensive. In Section 3, I provide background regarding the introduction of legislation that reduced product liability for vaccine producers in the United States. I present hypotheses relating to market values in the pre- and post-delitigation periods in Section 4 and describe data and methodology in Section 5. I present my empirical results in Section 6 and conclude in Section 7.

Section snippets

Why product liability is expensive

Product liability is expensive: firms incur both direct litigation and compensation costs as well as indirect costs when a consumer files a product injury case. Bhagat, Bizjak, and Coles (1998) find firms lose an average of almost 1.5% of market value when a consumer files a product liability lawsuit against them. The authors posit that reputational costs are extremely high for defendants of product liability cases. Viscusi and Hersch (1990) find that product liability litigation influences

Delitigation of the vaccine industry in the United States

In 1976, vaccine makers for the first time experienced delitigation. Before that year, firms selling vaccines in the United States bought liability insurance for

injuries associated with their products from private companies. In the wake of a potential swine flu epidemic in 1976, the U.S. government wanted to implement a mass vaccination program against the disease. Private insurance companies refused to cover vaccine manufacturers for the flu shot because the insurers were concerned that the

The effect of delitigation on the market value of new vaccines

One way to gauge the expected profitability of a product is to measure market reaction to the introduction of the product. The NCVIA significantly reduced the probability of a consumer suing a vaccine maker, thereby reducing both direct and indirect costs of litigation. The fall in costs could enhance the profitability of vaccines. However, the legislation included a new excise tax on vaccines to pay compensation to those injured by vaccines as well as a new public database of reported vaccine

Effect of liability legislation on market reaction to vaccines

I seek to determine whether firms experienced abnormal returns associated with legislation that reduced product liability. To do so, I examine market reactions to vaccine licenses before the passage of the law that preempted product liability and compare them to market reactions after the U.S. Congress passed the legislation on November 14, 1986. I calculate abnormal returns of stocks using the Fama–French three-factor model (Fama & French, 1993) with momentum.¹

Effect of liability legislation on market reaction to vaccines

The results of vaccine announcements, which I report in column 1 of Table 2, suggest that vaccine manufacturers earned an average abnormal return of 0.7% upon the licensing of a new vaccine. They earned a statistically insignificant 0.2% ($p = 0.52$) before the legislation, and a statistically significant 1.3% ($p = 0.01$) after the legislation. The 1.1% more that firms earn upon the licensing of a vaccine after the U.S. Congress passed the law preempting product liability is statistically significant

Conclusion

Delitigation helped to transform firms that make vaccines. The market rewarded the announcement of a new vaccine on average 1.1% more after the passage of legislation that preempted consumers from suing for an injury sustained from a vaccine. Moreover, average returns to other drugs *also* increased after the passage of the legislation, but only for pharmaceutical companies that make vaccines. Average returns upon the announcement of a new drug to companies that do not make vaccines remained the

Disclosure

The author filed a claim under the U.S. National Vaccine Injury Compensation Program, a program established under the legislation discussed in this paper, for her daughter. The Office of Special Masters in the U.S. Court of Federal Claims dismissed the claim on the basis of untimely filing.

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